

BUSINESS RESPONSIBILITY REPORT

INTRODUCTION

CDSL's Business Responsibility Report 2021-22 embraces environmental and social responsibility while creating value for its stakeholders. Our ability to fulfil and exceed our responsibilities to our stakeholders is a testament to our commitment. It follows the National Voluntary Guidelines on Social, Environmental, and Economic Responsibilities of Business (NVG), as notified by the Ministry of Corporate Affairs (MCA), Government of India. These guidelines provide comprehensive principles to be adopted by companies as a part of their business practices. Our Business Responsibility Report includes our responses to questions on our practices and performance on key principles defined by Regulation 34(2)(f) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, covering topics across environment, governance, and stakeholder relationships. Further, our Business Responsibility Report focuses on describing the initiatives taken by us from an environmental, social, and governance perspective and is guided by the format as specified in SEBI Circular dated November 04, 2015.

SECTION A: GENERAL INFORMATION ABOUT THE COMPANY

1.	Corporate Identity Number (CIN) of the company	L67120MH1997PLC112443
2.	Name of the Company	Central Depository Services (India) Limited
3.	Registered address	Unit No. A-2501, Marathon Futurex, Mafatlal Mills Compound, N.M. Joshi Marg, Lower Parel (East), Mumbai - 400013
4.	Website	www.cdslindia.com
5.	E-mail ID	cdslagm@cdslindia.com
6.	Financial Year reported	2021-22
7.	Sector(s) that the Company is engaged in (industrial activity code-wise)	Depository Services-64990
8.	List three key products/services that the Company manufactures/provides (as in Balance Sheet)	❖ Depository Services ❖ Easi & Easiest (Electronic Access to Security Information & Electronic Access to Security Information and Execution of Secured Transaction) ❖ e-Voting
9.	Total number of locations where business activity is undertaken by the Company	
	• Number of International Location	None
	• Number of National Locations	13
10.	Markets served by the Company	Serving markets all across India and Beneficial Owners of multiple countries.

SECTION B: FINANCIAL DETAILS OF THE COMPANY

1.	Paid up capital (INR)	10,450.00 Lakh
2.	Total Turnover (INR)	48,013.09 Lakh
3.	Total profit after taxes (INR)	26,376.24 Lakh
4.	Total Spending on Corporate Social Responsibility (CSR) as percentage of Profit after taxes (%)	0.97% (255.01 Lakh as a percentage of 26,376.24 Lakh)
5.	List of activities in which expenditure in 4 above has been incurred	i. Prime Minister National Relief Fund – 173.01 Lakh ii. Financial Awareness creation among students – 48.50 Lakh iii. Contribution for COVID-19 vaccination drive – 33.50 Lakh

SECTION C: OTHER DETAILS

1. Does the Company have any Subsidiary Company/ Companies?

Yes, there are four subsidiary companies as listed below:

- a) CDSL Ventures Limited
- b) CDSL Insurance Repository Limited
- c) CDSL Commodity Repository Limited
- d) CDSL IFSC Limited *(Ceased to be subsidiary with effect from May 02, 2022)*

2. Do the subsidiary company/companies participate in the BR Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s)

Yes, all the subsidiaries participate in our Business Responsibility initiatives to the extent possible.

3. Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, more than 60%]

The Company encourages participation of entities with whom the Company does business, in BR initiatives of the Company.

SECTION D: BUSINESS RESPONSIBILITY (BR) INFORMATION

1. Details of Director/ Directors responsible for BR

a) Details of the Director/ Directors responsible for implementation of the BR Policy/ Policies-

The Board of Directors particularly the Managing Director & CEO is responsible for implementation of Business Responsibility policies.

b) Details of the BR Head

No.	Particulars	Details
1.	DIN Number (if applicable)	02769054
2.	Name	Shri Nehal Vora
3.	Designation	Managing Director & CEO
4.	Telephone Number	+ 91 22 2305 8771
5.	E-mail ID	mdceo@cdslindia.com

2. Principle-wise (as per NVGs) BR Policy/ Policies

a) Details of compliance (Reply in Y/N)

Sr. No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	Do you have policy/policies for....	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
2.	Has the policy been formulated in consultation with relevant stakeholders?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3.	Does the policy conform to any national /international standards? If yes, specify.	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
4.	Has the policy been approved by the Board? If yes, has it been signed by the MD/owner/CEO/ appropriate Board Director?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
5.	Does the Company have a specified committee of the Board/Director/Official to oversee the implementation of the policy?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

Sr. Questions No.	P1	P2	P3	P4	P5	P6	P7	P8	P9
6. Indicate the link to view the policy online?	The Policies are available on the website of the Company at www.cdslindia.com The applicable policies are also available on the internal portal of the Company								
7. Has the policy been formally communicated to all relevant internal and external stakeholders? *	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
* Wherever necessary									
8. Does the Company have in-house structure to implement its policy/policies?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
9. Does the Company have a grievance redressal mechanism related to the policy / policies to address stakeholders' grievances related to policy/policies?	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
10. Has the Company carried out independent audit/ evaluation of the working of this policy by an internal or external agency? *	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
* Wherever necessary									

3. Governance related to BR

- a. Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, annually, more than 1 year.

Business Responsibility Report is placed before the Board annually before it is circulated to the shareholders of the Company.

- b. Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

Business Responsibility Report forms part of the Annual Report for financial year 2021-22 which can be viewed on the website of the Company at www.cdslindia.com.

2. How many stakeholders complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.

CDSL's stakeholders include investors, clients, employees, vendors / partners, government, and local communities.

During the past financial year 2021-22, Company had received three complaints from shareholders and all complaints were resolved within the prescribed time period. The details on investor complaints are available in the Corporate Governance Report of this Annual Report.

The Company has formulated a Whistle Blower Policy to employees to report matters without the risk of victimization, discrimination or disadvantage. The policy has been periodically communicated to the employees and posted on the Company's Intranet.

In addition to the above, the Company has instituted several policies to ensure adherence to existing statutory laws and regulations such as the Prevention of Sexual Harassment at the Workplace Policy (POSH), Framework for Managing Conflict of Interest etc. To administer and ensure compliance to the Code and applicable statutory laws and regulations as maybe applicable, the Company has defined the CDSL Employee's Service and Conduct Rules (SCR).

SECTION E: PRINCIPLE-WISE PERFORMANCE

Principle 1 (P1): Businesses should conduct and govern themselves with Ethics, Transparency, and Accountability

1. Does the policy relating to ethics, bribery, and corruption cover only the Company? Yes/ No. Does it extend to the Group/Joint Ventures/ Suppliers/ Contractors/NGOs /Others?

Yes, our Company's Code of Conduct and Ethics complies with all the governed laws and regulations; including mechanisms to resolve ethical issues & unethical conduct, legitimate handling of conflicts of interest and fostering culture of transparency, honesty, and accountability. It also covers dealing with other business associates.

The Investor Grievance team of the Company focuses on building and strengthening customer service orientation by initiating various measures for improvement in investor service. For the details of investor complaints, please refer to Principle 9.1 of this report.

Principle 2 (P2): Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

1. List up to 3 products or services whose design has incorporated social or environmental concerns, risks, and/or opportunities.

Our principal nature of service is to hold various securities like shares, debentures, money market instruments, etc. in an electronic form. The customers are provided with a demat account where several types of securities are accessed digitally. Numerous data files are quantified in our data centers considering increasing concerns and risks for the environment.

We also provide Consolidated Account Statement in electronic form called eCAS. This helps us save 90% paper utility and maintain all the physical records in a digital format.

India is a developing and diversified country for which we have branches in 13 locations and which are serviced by our Relationship Managers; this led several customers to connect with us. Lately, a new set of regulations has also mandated unlisted public companies to dematerialize which will allow easy accessibility and transformation of all their physical documents and storage of the same into digital format.

2. Does the Company have procedures in place for sustainable sourcing (including transportation)?

We being a service provider company, we have no specific procedures for sustainable sourcing.

3. Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

The Company procures majority of its manpower services, stationary items, etc. from local & small producers, including communities surrounding place of work of the Company.

4. Does the Company have mechanism to recycle products and waste? If yes, what is the percentage of recycling waste and products?

Our primary waste products are data storage devices which are digitally degaussed to destroy the data. Later, these devices are disposed through reputed and certified disposers. Secondary waste generated by us is handed over to premises manager, which in turn have processes to recycle, wherever possible like sewage treatment plant, organic waste converter, bottle crushers, etc.

Principle 3 (P3): Businesses should promote the wellbeing of all employees

1. Please indicate the total number of employees.

246

2. Please indicate the total number of employees hired on temporary/ contractual/casual basis.

108

3. Please indicate the number of permanent women employees.

51

4. Please indicate the number of permanent employees with disability.

4

5. Do you have an employee association that is recognized by management?

No

6. What percentage of your permanent employees are a member of this recognized employee association?

0

7. Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

Category	No. of complaints during the Financial Year	No. of complaints pending at the end of the Financial Year
Child Labour	0	0
Forced labour / Involuntary Labour	0	0
Sexual Harassment	0	0
Discriminatory Employment	0	0

8. What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year?

Information Security Management System (ISMS) Training		
Employee category	Male	Female
Number of permanent employees	118	37
Number of employees with disabilities	1	1
Casual/ Temporary/ Contractual employees	0	0

Excel Skill Training		
Employee category	Male	Female
Number of permanent employees	55	21
Number of employees with disabilities	1	0
Casual/ Temporary/ Contractual employees	0	0

Recent Cyber Attacks and State-of-the-Art Défense Practices; Blockchain and Its applications; and Analytics: Models, Experimental Strategies, and Applications Training		
Employee category	Male	Female
Number of permanent employees	17	1
Number of employees with disabilities	-	-
Casual/ Temporary/ Contractual employees	-	-

Principle 4 (P4): Businesses should respect the interests of, and be responsive to the needs of all stakeholders, especially those who are disadvantaged, vulnerable, and marginalized.

1. Has the Company mapped its internal and external stakeholders?

Yes, the Company has identified and mapped its internal and external stakeholders.

2. Out of the above, has the Company identified the disadvantaged, vulnerable & marginalized stakeholders?

Yes, the Company has focused and identified its vulnerable, disadvantaged and marginalized stakeholders.

Which are as follows:

- Physically challenged employees
- Mentally challenged children
- Underprivileged and destitute children & women
- Senior citizens and rural population (Farmers)

3. Are there any special initiatives taken by the company to engage with the disadvantaged, vulnerable, and marginalized stakeholders? If so, provide details thereof, in about 50 words or so.

Yes, we put in an extra effort to engage with disadvantaged, vulnerable, and marginalized stakeholders. As part of our CSR policy we have identified the following focus areas:

- Eradicating extreme hunger and poverty
- Promotion of education

- Promoting gender equality and empowering women
- Reducing child mortality and improving maternal health
- Combating human immunodeficiency virus, acquired immune deficiency syndrome, malaria and other diseases
- Ensuring environmental sustainability
- Employment enhancing vocational skills
- Social business projects
- Contribution to the Prime Minister's National Relief Fund or any other fund set up by the Central Government or the State Governments for socio-economic development and relief and funds for the welfare of the Scheduled castes, the Scheduled tribes, other backward classes, minorities, and women.

The above areas are reached through our CSR activities by promoting online academy for education in financial literacy, by supporting the COVID-19 pandemic vaccination drives and also by contributing to the Prime Minister National Relief Fund (PMNRF).

Principle 5 (P5): Businesses should respect and promote human rights.

1. Does the policy of the Company on human rights cover only the Company or extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?

Yes, our Company policies and practices related to protection of human rights i.e., prevention of sexual

harassment, prevention of child labour, etc., extends to all the stakeholders.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

Nil

Principle 6 (P6): Business should respect, protect, and make efforts to restore the environment

1. Does the policy related to Principle 6 cover only the Company or extends to the Group/Joint Ventures/Suppliers/Contractors/NGOs/others.

Yes, the policy related to principle 6 extends to all stakeholders of the Company.

2. Does the Company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc.? (If yes, please give hyperlink for webpage etc.)

Increasing energy demand and improper waste management have a major role and take part in climate change and global warming. Our services of demat securities enables the reduction in issuance of physical share certificates by companies as they are transformed to online shares. IPO and Corporate Action (CA) are being processed electronically which reduces the re-printing of share certificates. Various online initiatives have been facilitated through electronic means viz. online demat account opening, online account modification, online DIS (Online Delivery Instruction Slips), online pledge, online destatementization etc. This has largely reduced the cost of printing and storing the physical documents for the stakeholders associated with us. Also, we have upgraded our data center system which consumes 19 KW (earlier 31 KW). Our head office has an efficient waste management system comprising sewage treatment plant and organic waste converter.

3. Does the Company identify and assess potential environmental risks?

No, but we are prepared with a Business Continuity Plan if any unfortunate climatic phenomena or a disaster takes place.

4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if yes, whether any environmental compliance report is filed?

No

5. Has the Company undertaken any other initiatives on – clean technology, energy efficiency, renewable

energy, etc.? Y/N. (If yes, please give hyperlink for webpage etc.)

Please refer to Principle 2.1 and Principle 6.2 for insights on the Company initiatives.

6. Are the emissions/waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Please refer to Principle 2.4 for our waste disposal.

7. Number of show cause/ legal notices received from CPCB/SPCB which are pending (i.e., not resolved to satisfaction) as on end of Financial Year.

Nil

Principle 7 (P7): Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

1. Is your Company a member of any trade and chamber or association? If yes, name only those major ones that your business deals with:

Yes, the major trade bodies and associations are listed below through which we actively participate in overall development of our Company:

- a. ACG-Asia Pacific Central Securities Depository Group
- b. Association of Eurasian Central Securities Depositories (AECSD)

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes, specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others)

No

Principle 8 (P8): Businesses should support inclusive growth and equitable development

1. Does the Company have specified programs/ initiatives/projects in pursuit of the policy related to Principle 8? If yes, details thereof.

Yes, our Corporate Social Responsibility Initiatives not only support communities where we have our operations, but

also encompasses the overall development of societies, environment, and human capabilities. We have taken major initiatives in the areas of education, healthcare, and provided assistance to Central Government to fight against the COVID-19 pandemic by contributing to Prime Minister National Relief Fund and by contributing for vaccination drives for the public at large.

2. Are the programs/projects undertaken through in-house team/own foundation/external NGO/government structures/any other organization?

All the programs/projects are pre-approved by the CSR committee. The projects/programs are undertaken through external NGOs and associated organizations/government organizations.

3. Have you done any impact assessment of your initiative?

The webinars conducted by the Online Academy for financial literacy measures the impact of the program by conducting quizzes on the topics covered and provides certificate on successful completion. Regular feedback is sought from the participants of the webinar / program, along with timely comparison of the targets and the achievements.

4. What is your Company's direct contribution to community development projects-amount in INR and the details of the projects undertaken.

Our responsibility towards contributing into the sectors of economic, environmental, and social development allows us to have a positive impact on the society.

We have contributed to Prime Minister National Relief Fund, supported vaccination drives towards assistance

to fight against COVID-19 Pandemic and promotion of education by conducting webinars and programs through Online Academy for financial literacy. Kindly refer the **Annexure-D** on CSR attached to the Board's Report for further details.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community?

Aarth is a CSR Initiative from Central Depository Services (India) Ltd., with a mission to make financial education simple and accessible for all. Our Online Academy aims to impart financial awareness about personal finance and savings for all with special focus on age group 18-25 years in tier II and III cities and first-time women investors. Aarth strives on delivering knowledge which is in-depth yet simple.

Our team constantly focuses on providing content, which is contemporary and easy to understand, making it a great overall learning experience. The personal finance includes topics on Investment, Savings, Budgeting, Demat and Stock Market, Mutual Funds & ETF thereby helping the participants in increasing the financial awareness and making smarter investment decisions.

The contribution for vaccination drive to fight COVID-19 for general public and the vulnerable section is effective in reducing the probability of contracting with COVID-19 and prepare a better shield against the infection.

The contribution to Prime Minister National Relief Fund helped in providing assistance and relief to the general public at large in any emergency situations.

Principle 9 (P9): Businesses should engage with and provide value to their customers and consumers in a responsible manner

1. What percentage of customer complaints/consumer cases are pending as on the end of financial year?

Detail of Complaints received during the financial year are as follows:

Type of Customers	Unresolved complaints carried forward from FY 2020-21	Fresh Complaints received in FY 2021-22	Complaints resolved in FY 2021-22	Complaints unresolved in FY 2021-22
Shareholders	0	3	3	0
Investors	695	15025	15244	476*

*All complaints stand resolved as on the date of this report.

2. Does the Company display product information on the product label, over and above what is mandated as per local laws?

The above question is not applicable to the Company, as we are not a manufacturing company. The Company is a service body and the service information is regulated by our governing body Securities and Exchange Board of India.

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behavior during the last five years and pending as on end of financial year.

There were no cases filed by any of our stakeholders.

4. Did your Company carry out any consumer survey/ consumer satisfaction trends?

On a regular basis, the Company measures the satisfaction level of its customers using its services across various touch points. As a part of spreading financial literacy across the country for investors, the Company with conducts Investor Awareness Programs (IAPs) where it covers in detail basics of capital market and various depository services provided and collect feedback from the attendees about the IAP. Statistically, the Company has found that most of the investors have expressed that they are satisfied with the IAPs conducted by the Company.

For and on behalf of the Board

Balkrishna V Chaubal

Chairperson
(DIN: 06497832)

Place: Mumbai
Date: June 25, 2022